Marketing budget: evidence before scale

TO Head of CRM FROM Aditya Patil 26 OCTOBER 2026
2017 grocery panel | Source USD | Separate randomized email benchmark

Decision

Keep broad grocery campaign expansion on hold. Prioritize a feasible, randomized retention test with measured costs. Observational sales gaps and coupon engagement do not establish incremental profit.

What the evidence supports

The grocery panel records $4.185M in annual sales across 141,063 baskets and 2,467 active households. The 416 Champions contribute 44.7% of spend. The 755 declining households fell from $699,334 in H1 to $379,861 in H2, a $319,473 observed decrease; that is a prioritization signal, not a recoverable-revenue forecast. H1/H2 exclude partial week 1.

Why campaign expansion needs a holdout

Campaign 18's raw targeted-versus-untargeted gap is $34.77 per household per week. Earlier-window matching reduces the estimate to $2.95, with a 95% interval from -$0.74 to $6.64. Campaigns 8 and 13 are also inconclusive: $0.80 [-$2.71, $4.31] and $0.39 [-$3.25, $4.04]. All three earlier-match intervals include zero. This is uncertainty about incremental effect, not evidence of no effect.

Next budget decision

Use baseline spend/activity to stratify a household-level randomized holdout, freeze eligibility before assignment, and monitor eight-week grocery spend per assigned household, including zeros. Measure retailer-funded costs and distribution expense; judge incremental contribution after costs. Set a commercially meaningful detectable effect and verify sample feasibility first: the workbook's default planning scenario requires far more households than this panel. Do not promise a powered test at the current audience size.

Separate randomized benchmark

In the 64,000-customer Hillstrom experiment, the Men's merchandise email adds $0.77 [95% CI $0.48, $1.04] per assigned customer over two weeks versus no email; Women's adds $0.42 [$0.18, $0.70]. Men's is the supported population default for that retailer. Learned cell targeting is not stable across splits. Do not transfer either email lift into grocery campaign ROI.

Indian retail application - analogy only

A retailer could use the same holdout approach for a festive-season CRM campaign. These observations are US data in USD; no Indian campaign or currency conversion was tested.

Evidence: docs/memo.md links every result to saved outputs. Campaign estimates are observational; costs and margin are assumptions. Demographic findings describe an engaged subset, not the whole population.